

Understanding PEN & TAX as Business Rules

A plain-language guide for clients and administrators — stop thinking True/False; start thinking about what each flag does.

When configuring payroll adjustments, two Boolean flags control how the system calculates statutory deductions. Setting them incorrectly produces wrong SSNIT contributions or incorrect tax computations. This guide explains each flag as a **business rule** so the right choice is always obvious.

1. PEN Flag (**is_pensionable**)

THE RULE

"Should this money change the 5.5 % SSNIT contribution?"

SET TO TRUE

Only for **Basic Salary** corrections.

- **Earning:** Basic Salary Arrears
→ Increases SSNIT contribution
- **Deduction:** Basic Salary Overpayment Recovery
→ Decreases SSNIT contribution

SET TO FALSE

For **everything else** (Allowances, Dues, Loans...).

- Even if the employee **receives money** (e.g. Rent Allowance), it is not part of their Pensionable Basic Pay.
→ PEN must be FALSE

2. TAX Flag (**is_taxable**)

THE RULE

"Should the government take tax from this — or give tax back because of this?"

SET TO TRUE

Tax **is** affected by this item.

- **Earnings:** Arrears, Bonuses, Taxable Allowances
→ Employee pays **more** tax (earned more)
- **Deductions:** Tier 3 (Non-Taxable Pension)
→ Employee pays **less** tax (government allows this to be tax-free)

SET TO FALSE

Tax is **not** affected by this item.

- **Post-Tax Deductions:** Union Dues, Welfare, Loan Repayments
→ Tax already paid; system shouldn't reduce tax for a loan repayment
- **Non-Taxable Earnings:** Disability Allowance, tax-exempt perks
→ Exempt by law; no tax effect

Case Study: Why the Union Dues Flag Was Wrong

	Flag State	System Interpretation	Outcome
■ Wrong	PEN = TRUE	"This GHS 50.00 deduction is Pensionable, so subtract it from Basic Salary before calculating 35% SSNIT."	SSNIT increased incorrectly.
■ Correct	PEN = FALSE TAX = FALSE	"This GHS 50.00 is just a post-tax cash movement. SSNIT and Tax are already Taxed & unaffected. Net Pay is reduced."	Correctly ignored for SSNIT & Tax.

Quick-Reference Summary

Adjustment Item	PEN	TAX	Net Effect on Payslip
Basic Salary Arrears	■ TRUE	■ TRUE	Increases both SSNIT and Tax.
Allowances (e.g. Rent)	■ FALSE	■ TRUE	Increases Tax only; SSNIT unchanged.
Union Dues	■ FALSE	■ FALSE	Reduces Net Pay only. No statutory impact.
Tier 3 (Non-Tax Pension)	■ FALSE	■ TRUE	Reduces Tax; SSNIT unchanged.
Loan Repayment	■ FALSE	■ FALSE	Reduces Net Pay only. No statutory impact.
Disability / Tax-Exempt Perk	■ FALSE	■ FALSE	No statutory impact.

■ **Pro Tip for Clients:** If the adjustment is not a Basic Salary item, **PEN is almost always FALSE**. If it is a voluntary deduction or a loan repayment, **both PEN and TAX are FALSE**. When in doubt, ask: "Should SSNIT or the tax office care about this money?" If the answer is no, set both to FALSE.